

tially involving a massive equity infusion of approximately ₹8,300 crore or around \$1 billion from one or more PE investors.

But Torrent, like Dr. Reddy's, said on September 1 that it has no information requiring disclosure under listing regulations.

If Torrent bags Cipla, it would become the second-largest pharma company in India by revenue. Cipla is way bigger: its revenues for 2022-23 were more than double that of Torrent Pharma. Torrent would

banker and Senior Managing Director at O3 Capital, says Torrent would get a strong foothold in the US if it bags Cipla.

"Although acquiring Cipla would make Torrent one of the largest domestic formulations companies with revenue exceeding ₹15,000 crore, Cipla's US business is six times Torrent's. The US generics market is challenging even with a unique portfolio, especially in the respiratory segment," he says.

pla may be an attractive asset for acquisition, the potential size of the deal has reduced competition. Even for the two reported players, Torrent and Dr. Reddy's, the deal would require execution prowess.

"Such financial leverage on their books would require flawless execution," says Manchanda.

Any successful buyer must factor in Cipla's business spread apart from the deal size. Merging the businesses could be an equally daunting task. Analysts say Cipla's potential acquisition by Dr. Reddy's would position Dr. Reddy's as the second-largest player in India's domestic formulations market, with estimated revenue of around ₹14,000 crore.

Dr. Reddy's has a substantial presence in the US market, with revenues of \$1.2 billion and a CAGR of 16 per cent from FY20-23. Cipla's US operations generated \$0.7 billion at a CAGR of 10 per cent during the same period.

The two have significant portfolio overlaps, especially in the gastrointestinal and cardiac segments, but their respiratory segments complement each other well.

Regarding Torrent's bid, Bugwadia says the domestic formulations portfolios of Torrent and Cipla complement each other well, with limited overlap.

"However, cost synergies may be limited due to differences in field force personnel and manufacturing facility locations," he says.

While stakeholders and investors imagine various scenarios, any new owner knows it will be hard-pressed to build on a legacy beyond spreadsheet numbers. **BT**



"Cipla is a professionally run company. Any change in promoter will have a marginal impact... The extent of this impact is also influenced by who eventually steps in as the new promoter"

TUSHAR MANUDHANE
RESEARCH ANALYST, MOTILAL OSWAL
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overtake the current leader in the domestic formulations business, Sun Pharmaceutical Industries Ltd.

If Torrent gets the promoter's stake, India's takeover rules require it to make an open offer for an additional 26 per cent stake. Then it will be paying ₹60,000 crore or approximately \$7.2 billion for a 59.47 per cent stake in Cipla, surpassing Sun Pharma's \$4 billion acquisition of Ranbaxy from Dai-ichi Sankyo in 2014.

Shiraz Bugwadia, investment

CHALLENGES FOR THE BUYER

While Cipla, Torrent and Dr. Reddy's have been non-committal, the markets seem to have reacted. Shares of Cipla rose 0.93 per cent to ₹1,186.80 during August-September, while Torrent Pharma declined 3.71 per cent to ₹1,928 on September 29 from ₹2,002.75 on July 31. On September 29, the closing price of Dr. Reddy's was ₹5,586.75 against ₹5,646.30 on July 31, 2023.

Manchanda says that while Ci-

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